Marketing Management - Written Exam Q&A

138 model answers by unit, with marks, marking scheme and where each question was asked

> **How to use:** 2 marks = definition + 1 point (3-4 lines) · 3 marks = intro + 3 points · 5-6 marks = intro + 5-6 headed points + example/table · 10 marks = intro, headings, table/diagram, example, conclusion. **Stars:** *** asked in your PDFs (very likely), ** core syllabus, * possible. Answers marked [answer from standard knowledge] are not in your notes - check them with class notes.

Unit I

Q1. [2 marks] What is the marketing mix?

Core concepts · ***

The set of controllable tools a firm uses to meet customer needs: **Product, Price, Promotion and Place** (4Ps).

Example: Nike - athletic shoes, competitive prices, sponsorships, stores and website.

Marking scheme: Meaning 1.5 + example 0.5

Q2. [3 marks] List the six core concepts of marketing.

Core concepts · **

1. Customer needs and wants
2. Product or service
3. Value
4. Exchange
5. Relationships
6. Marketing mix (4Ps)

Example: Apple saw the need for a phone + music player + browser → iPhone.

Marking scheme: 6 concepts, ½ each

Q3. [6 marks] Explain the core concepts of marketing with examples.

Core concepts · ***

Marketing is built on a few core ideas that connect a customer's need to the firm's offer.

Concept	Meaning	Example
Needs and wants	Need = basic requirement; want = need shaped by culture and personality; found through research	Apple joined phone, music and browser into the iPhone
Product / service	The offer that satisfies needs - goods, services, ideas	McDonald's range
Value	Customers pay for the benefits they perceive against the price	BMW - prestige
Exchange	Giving something of value to get something of value	Online purchase on Amazon
Relationships	Trust and long-term loyalty beyond one sale	Starbucks rewards
Marketing mix	Product, price, promotion, place	Nike

- **Needs** come first - marketing does not create them, it identifies them.
- **Value** = benefits ÷ cost; firms raise value by raising benefits or lowering cost.
- **Relationships** make customers repeat buyers; the mix is the tool kit that delivers all of this.

Marking scheme: Six concepts with examples, 1 mark each

Asked in: Unit I notes + standard textbooks

Q4. [10 marks] Explain the core concepts, the marketing mix and the functions of marketing.

Core concepts & functions · ***

1. Introduction

Marketing rests on a few **core concepts**; the firm uses the **marketing mix** to put them into action and performs a set of **marketing functions** to carry goods from producer to consumer.

2. Core concepts

Concept	Meaning	Example
Needs, wants and demands	Need = basic requirement; want = need shaped by culture; demand = want backed by buying power	Apple combined phone, music and browser into the iPhone
Product / offer (market offering)	A bundle of benefits - goods, services, ideas	McDonald's menu
Value and satisfaction	Customers buy what gives the best value for the price	BMW - prestige
Exchange and transactions	Giving something of value to get something of value	Online purchase on Amazon
Relationships	Long-term trust and loyalty	Starbucks rewards
Markets	The set of actual and potential buyers	The student segment

3. Marketing mix (4Ps)

P	Meaning
Product	Tangible or intangible offer; quality, design, brand, packaging
Price	Amount paid; set after cost, demand and competition
Promotion	Advertising, sales promotion, PR, personal selling
Place	Distribution channels, physical and online

4. Functions of marketing

Group	Functions
Planning and research	Gathering market information, marketing plan, product planning and development
Product-related	Standardisation and grading, packaging and labelling, branding
Exchange	Pricing, promotion (advertising, personal selling, sales promotion, publicity)
Physical distribution	Distribution, transportation, storage and warehousing
Service	Customer support, after-sales service, handling complaints
Facilitating	Financing, risk-bearing, market information

5. Role of marketing

- **In a firm:** customer satisfaction is the key to survival and growth.
- **In the economy:** raises incomes, consumption, savings, employment and the standard of living.

6. Conclusion

Concepts tell **what** marketing is, the mix tells **how** it is done and the functions tell **which activities** are performed.

Marking scheme: Concepts 3 · mix 2 · functions 3 · role and conclusion 2

Asked in: Unit I notes + standard textbooks

Q5. [3 marks] Give any three definitions of marketing.

Definitions · ***

Source	Definition (short)
Philip Kotler	A social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value
Chartered Institute of Marketing	Management process responsible for identifying, anticipating and satisfying customer requirements profitably
American Marketing Association	Activity, set of institutions and processes for creating, communicating, delivering and exchanging offerings that have value for customers, clients, partners and society

Marking scheme: 3 × 1

Q6. [10 marks] Explain digital marketing: meaning, benefits, channels and measurement. Compare it with green marketing.

Digital & green marketing · ***

1. Meaning

Digital marketing is the promotion of products and brands through **digital channels** - websites, search engines, social media, email, video, mobile and SMS - to reach, engage and convert customers online.

2. Benefits

- **Cost-effective** - small budgets can reach a large audience.
- **Measurable** - every click, view and sale can be tracked.
- **Targeted and personalised** - by age, location, interest and behaviour.
- **Interactive** - two-way engagement, instant feedback.
- **Flexible** - campaigns can be optimised or stopped in real time.

3. Channels

Channel	Key idea	Example
Website	Brand storefront; fast, mobile-friendly	Apple.com
SEO	Rank high in search results (on-page, off-page, technical, local)	Local restaurant listing
PPC	Pay only when an ad is clicked	Nike ads on Google
Content marketing	Valuable content; the product is not front and centre	Red Bull media
Email	Direct, personalised, high ROI	Amazon recommendations
Social media	Awareness, trust, community	Duolingo on TikTok
Affiliate	Commission per sale	Amazon Associates
Video / SMS	Tutorials; promotional texts	Sephora; Domino's

4. Measurement (KPIs)

- **Click-through rate (CTR)** = clicks ÷ impressions.
- **Conversion rate** = buyers ÷ visitors.
- Website and social traffic; cost per acquisition; return on ad spend.

5. Challenges

- Too many channels, data overload, attention saturation and privacy rules.

6. Comparison with green marketing

Basis	Digital marketing	Green marketing
Meaning	Promotion through online channels	Promotion of eco-friendly, sustainable products
Focus	Medium (how to reach)	Message and product (what is offered)
Aim	Reach, engagement, sales	Sustainability, trust, ESG goals
Risk	Data overload, privacy	Greenwashing (false claims)
Example	Amazon email, Nike PPC	Tata Nexon EV, SBI paperless banking

The two combine well: a green brand can use digital channels to prove its claims (QR codes, carbon labels).

7. Conclusion

Digital marketing is now central because it is measurable and targeted; green marketing adds long-term trust if every claim is genuine.

Marking scheme: Meaning 1 · benefits 2 · channels 3 · measurement 1 · comparison 2 · conclusion 1

Asked in: Unit I notes + standard textbooks

Q7. [2 marks] Define digital marketing.

Digital marketing · **

Digital marketing is the use of **websites, apps, mobile devices, social media, search engines and other digital means** to promote and sell products and services. *Online marketing* (email, SEO, social ads) is a type of digital marketing.

Marking scheme: Definition 1.5 + online vs digital 0.5

Q8. [3 marks] State any three benefits of digital marketing.

Digital marketing · **

1. **Cost-effective** - small firms can compete.
2. **Easy to measure** - real-time tracking.
3. **Drives engagement** - serve customers on one platform.
4. **Personalised** through segmentation.
5. **Easy to update and optimise.**

Marking scheme: 3 × 1

Q9. [3 marks] Write short notes on SEO and PPC.

Digital marketing · **

- **SEO** - optimising a website to appear in search results; types: local, technical, on-page, off-page (backlinks).
- **PPC** / **SEM** - paid ads where you pay only when a user clicks; quick to change, trackable, targeted.

Marking scheme: Each 1.5

Q10. [6 marks] Explain the channels of digital marketing with examples and how success is measured.

Digital marketing · ***

Channel	How it works	Example
Website	Brand storefront, fast and mobile-friendly	Apple.com
SEO	Rank in search results (local, technical, on-page, off-page)	Local restaurant listing
PPC	Pay only per click	Nike on Google Ads
Content	Valuable content; product is not front and centre	Red Bull media
Email	Direct, high ROI, personalised	Amazon recommendations
Social media	Awareness and trust	Duolingo on TikTok
Affiliate	Commission per sale	Amazon Associates
Video / SMS	Tutorials; promotions by text	Sephora; Domino's

Measurement (KPIs)

- **CTR** = clicks ÷ impressions; **conversion rate** = buyers ÷ visitors.
- Website and social traffic, cost per acquisition, return on ad spend.

Marking scheme: Channels 4 · KPIs 2

Asked in: Unit I notes + standard textbooks

Q11. [2 marks] What is standardisation and grading?

Functions · **

- **Standardisation** - producing goods to predetermined standards of quality, price and packaging for uniformity.
- **Grading** - classifying products into classes by quality, size, weight (e.g. agricultural products), which helps realise better prices for better quality.

Marking scheme: Each 1

Q12. [5 marks] Explain any five functions of marketing.

Functions · ***

Function	Explanation
Gathering market information	Research to identify customer needs and trends
Marketing planning	Setting objectives and plans, e.g. +20% market share
Product design and development	Making products as per customer needs
Standardisation and grading	Uniform quality and sorting by quality
Packaging and labelling	Protect, identify and inform
Branding	Differentiate the product from competitors
Pricing, promotion, distribution	Fix price, communicate and make goods available; transport and storage

Marking scheme: Any 5 functions 1 mark each

Asked in: Unit I notes + standard textbooks

Q13. [6 marks] Explain the functions of marketing.

Functions · ***

Marketing functions are the activities needed to move goods and services from producers to consumers and to satisfy buyers.

Group	Functions	Explanation
Planning and research	Gathering market information, marketing plan, product design and development	Identify needs, set objectives (e.g. +20% market share), design products
Product-related	Standardisation and grading, packaging and labelling, branding	Uniform quality, protection and identity, differentiation
Exchange	Pricing, promotion (advertising, personal selling, sales promotion, publicity)	Fix prices and tell buyers about the product
Physical distribution	Distribution, transportation, storage and warehousing	Right place and time
Service	Customer support, after-sales service, complaints	Satisfaction after the sale and repeat purchases

Conclusion: all functions must work together under the customer-oriented marketing plan.

Marking scheme: Groups 3 · explanations 2 · conclusion 1

Asked in: Unit I notes + standard textbooks

Q14. [2 marks] What is greenwashing?

Green marketing · ***

Making environmental claims that are **false, exaggerated or unsubstantiated** to appear sustainable.

Example: Kohl's and Walmart paid a US$5.5M FTC penalty (2022) for labelling rayon textiles as eco-friendly bamboo.

Marking scheme: Meaning 1.5 + example 0.5

Q15. [3 marks] State any three benefits of green marketing.

Green marketing · **

1. **Appeals to a new market** of eco-conscious consumers.
2. **Increases brand loyalty and profitability** for first movers.
3. **Lowers overhead costs** through energy, water and waste savings.
4. **Helps the environment** and slows climate change.

Marking scheme: 3 benefits × 1

Q16. [6 marks] What is green marketing? Explain its strategies and the risk of greenwashing.

Green marketing · ***

Meaning

Green (eco) marketing promotes products and practices as environmentally sustainable alternatives. It is part of ESG practice and appeals to customers who care about the planet.

Strategies

Strategy	Example
Sustainable products and materials	Recycled packaging, refillable products
Responsible waste disposal	Take-back and recycling schemes
Electronic marketing	Digital brochures instead of print
Renewable energy practices	Solar-powered plants and outlets
Emission-minded shipping	EV delivery fleets
Green alliances and community investment	Tree-plantation tie-ups

Greenwashing

Greenwashing means making false or unproven environmental claims. It leads to fines and loss of trust (Kohl's and Walmart paid about US$5.5 million in a US case).

Best practice: substantiate every claim, use third-party certification and make impact checkable with QR codes and carbon labels.

Example: Tata Nexon EV, SBI paperless banking, Patagonia.

Marking scheme: Meaning 1.5 · strategies 2 · greenwashing 1.5 · example 1

Asked in: Unit I notes + standard textbooks

Q17. [5 marks] Explain the importance of marketing management.

Importance · ***

Marketing management links the firm with the market and supports every business goal.

- **Identifies customer needs** and guides product development.
- **Builds brand image**, reputation and loyalty.
- **Increases sales** and revenue.
- **Helps select target markets** and study competitors.
- **Determines** pricing, promotion and distribution strategies.
- **Gives competitive advantage** and helps the firm adapt to change.
- **Measures** the effect of marketing effort and manages risk; **creates long-term value**.

Marking scheme: Any 5 points explained

Asked in: Unit I notes + standard textbooks

Q18. [2 marks] Define marketing.

Introduction · ***

Marketing is the process of **identifying, anticipating and satisfying customer needs and wants profitably** through the creation, promotion and distribution of products and services.

Kotler: "a social process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value with others."

Marking scheme: Definition 1.5 + author 0.5

Q19. [2 marks] What is marketing management?

Introduction · **

Marketing management is the functional area of management concerned with **planning, organising, directing and controlling** the activities related to marketing of goods and services to satisfy customers' wants.

- Process: choose a target market → create demand → create superior value.

Marking scheme: Definition 1.5 + process 0.5

Q20. [10 marks] Define marketing. Explain the nature, scope and importance of marketing management.

Introduction · ***

1. Introduction

Marketing is the management process responsible for **identifying, anticipating and satisfying customer requirements profitably** (Chartered Institute of Marketing). Philip Kotler calls it a **social process** by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value. **Marketing management** is the analysis, planning, implementation and control of programmes designed to create and keep profitable exchanges with target buyers.

2. Nature of marketing

- **A key business function** that creates and captures value for the firm and the customer.
- **Customer-focused** - begins with the needs and wants of the customer, not with the factory.
- **Art and science** - creativity (advertising ideas, branding) combined with analysis (research, data).
- **Proactive and reactive** - it creates demand for new products and responds to changing demand.
- **Dynamic** - changes with technology, competition and consumer behaviour.
- **Universal** - applies to goods, services, ideas and persons, in profit and non-profit organisations.
- **Data-driven and continuous** - results are measured and plans revised.

3. Scope of marketing management

Area	What it covers
Market understanding	Customers, competition, market trends, forecasting
Product	Development, branding, packaging, product mix
Price, place, promotion	Pricing methods, distribution channels, advertising and selling
Sales and CRM	Sales management, customer relationship management
Research and STP	Marketing research, segmentation, targeting, positioning
Wider scope	International marketing, innovation, public relations, social responsibility

4. Importance

- **To the firm:** identifies customer needs, guides product development, raises sales and revenue, builds brand image and loyalty, gives competitive advantage, helps manage risk.
- **To customers:** wider choice, better quality and information, fair prices.
- **To society:** raises consumption, employment and standard of living; creates utilities of form, time, place and possession.

5. Marketing vs selling (link)

Selling is only **one part** of marketing: marketing starts before production with research and ends after the sale with service and relationships.

> **Example:** Amazon studies browsing and purchase data to recommend products - needs are identified first, sales follow.

6. Conclusion

Marketing management is the link between the firm and the market; a firm that practises it well earns profit **by satisfying customers**, not by pushing products.

> **Marking scheme:** Definition 2 · nature 2 · scope 2 · importance 2 · example and conclusion 2

Asked in: Unit I notes + standard textbooks

Q21. [3 marks] What are the steps in the process of marketing management?

Management process · **

1. **Choosing a target market.**
2. **Creating demand** for the product.
3. **Creating superior value** for customers.

Marketing management plans, organises, directs and controls these activities to satisfy customers' wants.

Marking scheme: 3 steps × 1

Q22. [3 marks] State the advantages and disadvantages of the marketing (modern) concept.

Marketing concept · ***

Advantages	Disadvantages
Higher customer satisfaction	Costly market research
Improved brand image	Risk of over-emphasising customer needs at the expense of profit
Increased sales and long-term profitability	Difficult to implement - needs a change of mindset

Marking scheme: 3 + 3 points (½ each)

Q23. [2 marks] State any two differences between marketing and selling.

Marketing vs selling · ***

Marketing	Selling
Starts before production	Starts after production
Profit through customer satisfaction	Profit through sales volume

Marking scheme: 2 × 1

Q24. [3 marks] Distinguish between marketing and selling (any three points).

Marketing vs selling · ***

Basis	Marketing	Selling
Focus	Customer needs	Seller's needs
Starts	Before production	After production
Orientation	Customer oriented	Product oriented
Profit through	Customer satisfaction	Sales volume
Perspective	Long-term, macro	Short-term, micro

Marking scheme: 3 points × 1

Q25. [5 marks] Distinguish between marketing and selling with examples.

Marketing vs selling · ***

Basis	Marketing	Selling
Focus	Customers' needs	Sellers' needs
Begins	Before production - planning and development	After production - sale of goods
Orientation	Customer oriented	Product oriented
Profit	Through consumer satisfaction	Through sales volume
Attitude	Seller beware	Buyer beware
Approach	Macro (whole system)	Micro
Time	Long-term perspective	Short-term perspective

Example: A skincare start-up redesigning products from monthly customer feedback (marketing) vs a door-to-door vacuum seller using pressure (selling).

Marking scheme: Any 5 differences 4 · example 1

Asked in: Unit I notes + standard textbooks

Q26. [10 marks] Distinguish between marketing and selling. Explain how the two are related and which philosophies treat selling as the main task.

Marketing vs selling · ***

1. Introduction

Many people think marketing means selling. In fact **selling and sales promotion are integral parts of marketing, but they are not everything**; marketing is the broader term.

2. Differences

Basis	Marketing	Selling
Focus	Customers' needs	Seller's needs
Starts	Before production - research and planning	After production - when goods are ready
Activities	Research, product planning, pricing, promotion, distribution, service	Persuading customers to buy; sale of goods
Orientation	Customer oriented	Product oriented
Profit through	Consumer satisfaction	Sales volume
Attitude	Seller beware (the seller is responsible)	Buyer beware
Approach	Macro - the whole system	Micro - a single transaction
Perspective	Long-term relationships	Short-term sales

3. How they are related

- Selling is **one function** of marketing - part of the promotion element of the marketing mix.
- Marketing starts with research and ends with after-sales service and relationships; selling sits in the middle.
- Good marketing makes selling easier: "the aim of marketing is to make selling superfluous" (Peter Drucker).

4. Philosophies that treat selling as the main task

The **selling concept** (and, to a degree, the production concept) assumes consumers will not buy enough unless pushed. The marketing and societal concepts begin with customer needs instead.

> **Example:** Insurance and door-to-door sales use the selling concept; Amazon's personalisation uses the marketing concept.

5. Conclusion

Selling brings short-term sales; marketing builds customers who return. A modern firm needs both, with marketing in the lead.

Marking scheme: Introduction 1 · differences 4 · relation 2 · philosophies 1 · example and conclusion 2

Asked in: Unit I notes + standard textbooks

Q27. [2 marks] Why is marketing called both an art and a science?

Nature of marketing · **

- **Art** - needs creativity, communication and judgement to understand and influence people.
- **Science** - uses research, data, analysis and tested strategies.

Marking scheme: Each 1

Q28. [3 marks] Explain any three features of marketing.

Nature of marketing · ***

1. **Needs and wants** - the focus is satisfaction of consumers' needs and wants.
2. **Market offering** - a complete offer (size, quality, price, availability).
3. **Customer value** - customers buy on the value they perceive.
4. **Exchange** - parties give something of value to obtain a product.

Marking scheme: 3 features × 1

Q29. [6 marks] Explain the nature of marketing.

Nature of marketing · ***

- **Key business function** - creates and captures value for the firm and its customers.

- **Customer-focused** - identifies needs and wants and builds long-term relationships.
- **Not just selling** - includes research, product development, pricing, promotion and distribution.
- **Art and science** - creativity plus analysis and measurement.
- **Proactive and reactive** - creates demand and also responds to it.
- **Dynamic** - changes with technology and consumer behaviour.
- **Universal** - applies to goods, services, ideas and persons in profit and non-profit bodies.
- **Data-driven** and continuously evaluated; **linked** with finance, sales and operations.

Example: Netflix personalises artwork and recommendations from viewing data.

Conclusion: the nature of marketing is customer-centred, creative and analytical.

Marking scheme: Any 6 features 5 · example and conclusion 1

Asked in: Unit I notes + standard textbooks

Q30. [2 marks] What is the production concept? Give an example.

Orientations · ***

The production concept assumes consumers prefer products that are **widely available and inexpensive**; management focuses on production and distribution efficiency and economies of scale.

Example: Henry Ford's Model T; McDonald's standardised production.

Marking scheme: Meaning 1 + example 1

Q31. [2 marks] What is the societal marketing concept?

Orientations · ***

Marketing strategy should deliver value to customers while preserving or enhancing the **long-term well-being of consumers and society**, balancing **profit, consumer wants and public interest** (People, Planet, Profit).

Example: Patagonia, The Body Shop, TOMS Shoes "One for One".

Marking scheme: Meaning 1.5 + example 0.5

Q32. [3 marks] Compare the production, product and selling concepts.

Orientations · ***

Basis	Production	Product	Selling
Assumption	Consumers want available, cheap goods	Consumers want quality and innovation	Consumers must be persuaded
Focus	Volume and cost	Quality	Promotion and push
Example	Ford, McDonald's	Apple	Insurance, Amway

Marking scheme: 3 rows × 1

Q33. [3 marks] State the advantages and disadvantages of the production concept.

Orientations · **

Advantages	Disadvantages
Lower costs through economies of scale	Lack of innovation
Consistent products	Poor customer service
High volume and market share	Ignores changing customer needs

Marking scheme: 3 + 3 points (½ each)

Q34. [5 marks] Explain the production, product and selling concepts with advantages and disadvantages.

Orientations · ***

These are the three **product-centred** orientations - they start from the factory, not from the customer.

Concept	Idea	Advantages	Disadvantages	Example

Production	Consumers prefer cheap, available goods; economies of scale	Low cost, consistency, high volume	No innovation, poor service	Ford
Product	Consumers prefer the highest quality and innovation	Satisfaction, innovation, loyalty	High R&D cost, ignores price and service, risk of failure	Apple
Selling	Consumers will not buy enough unless pushed	Maximises sales, action-focused	Short-term, no customer focus, pressure	Insurance, Amway

Conclusion: all three ignore customer needs - the marketing concept corrects this.

Marking scheme: Three concepts with 2 points each 4 · conclusion 1

Asked in: Unit I notes + standard textbooks

Q35. [6 marks] Explain the five orientations of marketers towards the marketplace.

Orientations · ***

An **orientation** is the philosophy that guides how a firm approaches the market. Kotler lists five in the order in which they developed.

Concept	Focus	Means	Ends	Example
Production	Quantity	Availability and affordable prices	Profit via volume	Ford, McDonald's
Product	Quality	Product improvement	Profit via quality	Apple
Selling	Existing product	Selling and promotion	Profit via sales volume	Insurance
Marketing	Customer needs	Integrated marketing	Profit via satisfaction	Amazon
Societal	Customer plus society	Integrated, ethical marketing	Profit via satisfaction and welfare	Patagonia

- **Production** - cheap and available goods; works when demand exceeds supply.
- **Product** - the best quality; danger of ignoring what buyers really need.
- **Selling** - customers must be pushed; short-term.
- **Marketing** - start with the customer, then produce; long-term loyalty.
- **Societal** - satisfy customers while protecting society.

Conclusion: most successful firms blend the marketing concept with societal responsibility.

Marking scheme: Table 3 · short explanation 2 · conclusion 1

Asked in: Unit I notes + standard textbooks

Q36. [6 marks] Explain the societal marketing concept. State its advantages and disadvantages.

Orientations · ***

Meaning

The **societal marketing concept** holds that a firm should create value for customers **and** enhance the long-term well-being of consumers and society. Its three goals are **People, Planet and Profit**. It adds to the marketing concept the duty to avoid harm (pollution, unhealthy products, exploitation).

Advantages

- Builds brand reputation, trust and loyalty.
- Competitive differentiation and long-term profitability.
- Attracts socially conscious customers; better employee morale.
- Lower reputational and regulatory risk.

Disadvantages

- Costly and time-consuming to implement.
- Social impact is complex and hard to measure.
- Company goals and social goals may conflict.

- Risk of being seen as inauthentic (greenwashing).

> **Example:** Patagonia (environment), TOMS Shoes (one-for-one giving), Unilever (sustainable living), The Body Shop (cruelty-free).

Conclusion: it is the broadest orientation - profit is earned by serving both customers and society.

> **Marking scheme:** Meaning 2 · advantages 1.5 · disadvantages 1.5 · example and conclusion 1

Asked in: Unit I notes + standard textbooks

Q37. [10 marks] Explain the orientations of marketers towards the market place in detail with advantages, disadvantages and examples.

Orientations · ***

1. Introduction

The **marketing orientations** (philosophies) are the ideas that guide how an organisation thinks about its customers, its product and its profit. Kotler describes **five**: production, product, selling, marketing and societal. They evolved in this order as markets became competitive.

> Production → Product → Selling → Marketing → Societal (focus shifts from factory to customer to society)

2. Detailed explanation

Concept	Core belief	Advantages	Disadvantages	Example
Production	Consumers prefer products that are cheap and widely available; improve production and distribution efficiency	Low cost, high volume, consistency, economies of scale	No innovation; ignores customer needs; poor service	Ford Model T, McDonald's
Product	Consumers prefer the best quality, performance and features	Innovation, high quality, satisfaction and loyalty	High R&D cost; "marketing myopia" - ignores price and real needs	Apple, Tesla
Selling	Consumers will not buy enough unless aggressively pushed	Quick sales, useful for unsought goods and surplus stock	Short-term; no customer focus; pressure creates dissatisfaction	Insurance, Amway
Marketing	Find customer needs first and deliver them better than competitors	Satisfaction, loyalty, repeat sales, long-term profit	Research is costly; needs the whole firm to be customer-oriented	Amazon, Zappos
Societal	Satisfy customers while protecting the long-term well-being of society (people, planet, profit)	Reputation, trust, loyalty, lower regulatory risk	Costly; results hard to measure; goals may conflict	Patagonia, TOMS, The Body Shop

3. Comparison

Basis	Production	Product	Selling	Marketing	Societal
Starting point	Factory	Factory	Factory	Market	Market and society
Focus	Quantity	Quality	Existing product	Customer needs	Needs plus welfare
Means	Availability, low price	Product improvement	Selling and promotion	Integrated marketing	Integrated, ethical marketing
Profit through	Volume	Quality	Sales volume	Satisfaction	Satisfaction and welfare

4. Conclusion

Most successful modern firms use the **marketing concept** and add **societal responsibility**; the earlier orientations still exist where they suit the situation (production in shortage markets, selling for unsought goods).

> **Marking scheme:** Introduction 1 · five concepts with advantages, disadvantages, examples 6 · comparison 2 · conclusion 1

Asked in: Unit I notes + standard textbooks

Q38. [3 marks] Explain the role of marketing in a firm and in the economy.

Role · **

1. **In a firm** - helps achieve objectives; customer satisfaction is the key to survival and growth; decides what products to offer.
2. **In the economy** - aids development, raises standard of living, increases incomes, consumption, savings and investment.

Marking scheme: Firm 1.5 + economy 1.5

Q39. [5 marks] Explain the scope of marketing management.

Scope · ***

The **scope** shows the areas in which marketing management works.

Area	What it covers
Market and customer	Understanding the market, customers and competition
Product	Development and branding
4Ps	Pricing, promotion and distribution decisions
Sales	Sales management, forecasting and CRM
Research and STP	Marketing research, segmentation, targeting, positioning
Wider	International marketing, innovation, reputation, PR and social responsibility
Strategy	Planning aligned with organisational goals

Marking scheme: Any 5 areas explained 5

Asked in: Unit I notes + standard textbooks

Q40. [10 marks] Explain the modern marketing concept and the societal marketing concept. How do they differ from the selling concept?

Societal & modern marketing · ***

1. Introduction

The **selling concept** pushes what the firm makes; the **modern (marketing) concept** starts from customer needs; the **societal concept** goes one step further and also protects the well-being of society.

2. Modern marketing concept

The firm succeeds by **identifying the needs of target customers and delivering satisfaction better than competitors** (Kotler). Elements: customer orientation, integrated marketing, personalisation, relationship building, continuous improvement, data-driven decisions.

Flow: Customer needs → Integrated marketing → Customer satisfaction → Profit

3. Societal marketing concept

The firm should create value for customers while **enhancing the long-term well-being of consumers and society** - the triple bottom line of **People, Planet, Profit**.

Merits	Demerits
Builds reputation, trust and loyalty; lower reputational and regulatory risk; attracts socially conscious buyers; better employee morale	Costly and time-consuming; impact hard to measure; company and society goals may conflict; risk of being seen as inauthentic

4. Comparison with the selling concept

Basis	Selling concept	Modern marketing	Societal concept
Starting point	Factory	Market	Market and society
Focus	Existing product, push	Customer needs	Needs plus welfare of society

Means	Aggressive promotion	Integrated marketing	Integrated, ethical marketing
Ends	Profit via sales volume	Profit via satisfaction	Profit via satisfaction and welfare
Time view	Short-term	Long-term relationships	Long-term, sustainable

Example: Insurance push-sales (selling); Amazon (marketing); Patagonia and TOMS Shoes (societal).

5. Conclusion

Selling is short-sighted, marketing is customer-led and societal marketing is customer- and society-led. Modern firms blend the last two.

Marking scheme: Introduction 1 · modern concept 2 · societal 3 · comparison table 3 · conclusion 1

Asked in: Unit I notes + standard textbooks

Unit II

Q41. [2 marks] What are the null and alternative hypotheses?

Analysis · **

- **Null hypothesis (H_0)** - no effect or difference; observations are due to chance.
- **Alternative hypothesis (H_1)** - there is an effect; observations have a non-random cause.

Marking scheme: Each 1

Q42. [6 marks] Explain hypothesis testing and the tests used in marketing research.

Analysis · ***

A **hypothesis** is an assumption about a population parameter, tested with sample data. **H0** (null) says there is no effect or difference; **H1** (alternative) says there is.

Steps

Flow: Formulate H0 and H1 → Identify the test statistic → Fix the decision rule (region of acceptance) → Accept or reject H0

Test	Use
Z-test	Large sample ($n \geq 30$), known variance
t-test	Small sample ($n < 30$)
F-test / ANOVA	Compare means of two or more groups
χ^2 (Chi-square)	Significance of association in cross-tabs

Example: H0: new ad does not change average sales. A t-test on 20 stores decides whether to reject H0.

Marking scheme: Concept 1.5 · steps 1.5 · tests 2 · example 1

Asked in: Unit II notes + standard textbooks

Q43. [2 marks] Define consumer behaviour.

Consumer behaviour · ***

Consumer behaviour is the study of how individuals, groups or households **select, buy, use and dispose** of products and services - the psychological, social and economic drivers behind every purchase decision.

Marking scheme: Definition 2

Q44. [2 marks] What is cognitive dissonance?

Consumer behaviour · **

The **doubt or discomfort a buyer feels after a purchase** about whether the right decision was made. Marketers reduce it through warranties and after-sales communication.

Example: Second-guessing an expensive mattress purchase.

Marking scheme: Meaning 1.5 + remedy 0.5

Q45. [2 marks] Name the five groups of factors influencing consumer behaviour.

Consumer behaviour · **

1. Social
2. Cultural
3. Economic
4. Personal
5. Psychological

Situational factors (store layout, mood, time) are temporary influences.

Marking scheme: 5 × ⅖

Q46. [3 marks] Name and explain the four types of consumer buying behaviour.

Consumer behaviour · ***

Type	Meaning	Example
Complex	High involvement, big brand differences	Car, laptop
Dissonance-reducing	High involvement, few differences	Mattress
Habitual	Low involvement, routine	Toothpaste
Variety-seeking	Low involvement, novelty	New soft-drink flavour

Marking scheme: 4 types, ¾ each

Q47. [3 marks] Explain the factors influencing consumer behaviour (any three).

Consumer behaviour · ***

1. **Social** - reference group, family, role and status.
2. **Cultural** - culture, sub-culture, social class.
3. **Economic** - income, savings, consumer credit.
4. **Personal** - age, occupation, lifestyle.
5. **Psychological** - motivation, perception, learning, attitude.

Marking scheme: 3 factors × 1

Q48. [3 marks] Why is the study of consumer behaviour important? (any three reasons)

Consumer behaviour · ***

1. **Better marketing and communication** - preferences keep changing.
2. **Retention and loyalty** - keeping a customer is cheaper than winning a new one.
3. **Inventory planning** - balance demand and supply.
4. **Higher sales** - knowing likes and dislikes helps close sales.
5. **Competitor insight** - gaps between products.

Marking scheme: 3 × 1

Q49. [6 marks] Explain the consumer buying decision process.

Consumer behaviour · ***

Flow: Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

Stage	Explanation	Example
Problem recognition	Gap between desired and actual state	Cracked phone screen
Information search	Internal (memory) and external (friends, ads, reviews); leads to the evoked set	Reads reviews

Evaluation	Ranks alternatives by criteria such as price, features, brand	Compares 3 phones
Purchase decision	Chooses product, brand, store and method of payment	Selects one model
Purchase	Actual buying; may differ from the decision (stock-out, offers)	Buys online
Post-purchase evaluation	Satisfaction or cognitive dissonance	Doubt after buying

Not every purchase includes all six stages: habitual buying skips search and evaluation. A satisfied buyer repeats and recommends; a dissatisfied one complains or switches.

Marking scheme: Flow 2 · stage explanations 3 · remark 1

Asked in: Unit II notes + standard textbooks

Q50. [6 marks] Define consumer behaviour and explain the factors that influence it.

Consumer behaviour · ***

Consumer behaviour is how people select, buy, use and dispose of products to satisfy their needs.

Factor	Elements	Example
Social	Reference groups, family, roles and status	Family chooses a TV
Cultural	Culture, sub-culture, social class	Festival buying
Economic	Income, savings, credit	EMI purchase
Personal	Age, occupation, lifestyle	Student buys earphones
Psychological	Motivation, perception, learning, attitude	Brand trust

Situational factors - store layout, music, mood, time pressure - are temporary influences. Marketers use these factors to segment markets and fine-tune the mix.

Marking scheme: Definition 1 · five factors 4 · situational and conclusion 1

Asked in: Unit II notes + standard textbooks

Q51. [10 marks] Explain consumer behaviour: its importance, types, factors and the buying decision process.

Consumer behaviour · ***

1. Meaning

Consumer behaviour is the study of how individuals and groups **select, buy, use and dispose of** goods, services, ideas or experiences to satisfy their needs and wants.

2. Importance

- Helps in **segmentation**, targeting and positioning.
- Guides product design, pricing, branding and promotion.
- Improves customer retention and loyalty.
- Supports demand forecasting and inventory planning; helps study competitors.

3. Four types of buying behaviour

Type	Involvement	Brand differences	Example
Complex buying	High	Large	Car, laptop - buyer learns, then forms attitude, then buys
Dissonance-reducing	High	Few	Mattress, flooring - buys quickly, may feel doubt afterwards
Habitual buying	Low	Few	Toothpaste, salt - buys from habit
Variety-seeking	Low	Large	Soft drinks, snacks - switches for variety

4. Factors influencing behaviour

Factor	Elements	Example
Cultural	Culture, sub-culture, social class	Festival buying

Social	Reference groups, family, roles and status	Family chooses a TV
Personal	Age, occupation, lifestyle, economic situation	A student buys earphones
Psychological	Motivation, perception, learning, beliefs and attitudes	Brand trust
Economic	Income, savings, credit	EMI purchase

Situational factors (store layout, music, mood, time) and digital influences (reviews, influencers) also matter.

5. Buying decision process

Flow: Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

> **Example:** A shopper scrolls Instagram, sees a shoe ad (problem recognition), reads reviews (search), compares brands, adds to cart, but abandons it at checkout because of the delivery charge.

6. Conclusion

Understanding why customers behave as they do lets a firm design the mix that fits them.

Marking scheme: Meaning and importance 2 · four types 3 · factors 2 · decision process 2 · conclusion 1

Asked in: Unit II notes + standard textbooks

Q52. [2 marks] Distinguish between primary and secondary data.

Data · ***

Primary data	Secondary data
Collected first-hand for the problem at hand	Already collected by someone else for another purpose
Expensive, specific, time-consuming	Cheaper and faster, may not fit exactly
Surveys, interviews, observation	Published reports, census, sales invoices

Marking scheme: 2 differences × 1

Q53. [3 marks] Distinguish between univariate, bivariate and multivariate analysis.

Data analysis · ***

Type	Focus	Examples
Univariate	One variable - central tendency and dispersion	Mean, median, mode
Bivariate	Association between two variables	Cross-tabs, Chi-square, correlation
Multivariate	Three or more variables simultaneously	ANOVA, regression, conjoint, factor, cluster

Marking scheme: 3 × 1

Q54. [10 marks] Explain the stages of data analysis in marketing research: editing and coding, tabulation, univariate, bivariate and multivariate analysis, hypothesis testing and Pareto analysis.

Data analysis · ***

1. Data preparation

Step	What is done
Editing	Check completeness, consistency and legibility of forms
Coding	Assign numbers or symbols; keep a codebook
Tabulation	Arrange data in simple tables and cross-tabulations (most common method)

2. Univariate analysis

One variable at a time: central tendency (mean, median, mode) and dispersion (range, SD). Mean of 5, 10, 22, 25, 17 = 79 ÷ 5 = **15.8**. Use the median for skewed data.

3. Hypothesis testing

- State **H0** (no effect) and **H1** (effect).
- Choose the test statistic; set the decision rule (region of acceptance); accept or reject H0.
- **Z** ($n \geq 30$), **t** ($n < 30$), **F** / ANOVA (2+ means), **χ^2** (association in cross-tabs).

4. Bivariate analysis

Association between a dependent and an independent variable: Lambda and Chi-square ($\chi^2 = \Sigma(O - E)^2 \div E$) for nominal data; correlation for ordinal / interval data.

5. Multivariate analysis

Type	Techniques
Variance	ANOVA, ANCOVA, MANOVA
Dependence	Regression, discriminant, conjoint analysis
Interdependence	Factor, cluster, multi-dimensional scaling

6. Pareto analysis

The **80:20 rule** - the "vital few and trivial many": about 20% of causes produce 80% of results (20% of customers give 80% of sales); used in quality control and ABC inventory.

7. Conclusion

Analysis moves from cleaning and describing data to testing relationships and finally to decisions.

Marking scheme: Preparation 2 · univariate 1 · hypothesis 2 · bivariate 1.5 · multivariate 1.5 · Pareto 1 · conclusion 1

Asked in: Unit II notes + standard textbooks

Q55. [10 marks] Explain data collection in marketing research: sources of data, observation, questionnaire design, sampling and data processing.

Data collection · ***

1. Sources of data

Secondary (desk research)	Primary (field research)
Internal: sales, finance, marketing, HR data. External: government, published and commercial sources, international agencies. Merits: cheap, quick. Demerits: may not fit, outdated, source bias	Observation, surveys / questionnaires, interviews, focus groups, experiments. Merits: specific and current. Demerits: costly, time-consuming

Ideal sequence: **secondary first, then primary** to fill the gaps.

2. Observation

- Structured / unstructured; disguised / undisguised; direct / indirect; human / mechanical (e.g. footfall counters, CCTV).
- Accurate on **what people do**, but not **why**.

3. Questionnaire design

Flow: Information required → Target respondents → Method (personal, mail, telephone) → Question content → Closed / open questions → Order and format → Closing questions → Appearance → Pilot test and revise

4. Sampling

Probability (simple random, systematic, stratified, cluster) vs non-probability (convenience, judgment, quota, snowball). Sample size depends on variability, desired confidence and precision.

5. Data processing

Flow: Editing → Coding (codebook) → Tabulation (simple and cross-tab)

6. Conclusion

Good data collection is the base of reliable research: the right source, a tested instrument, a representative sample and careful processing.

Marking scheme: Sources 2 · observation 1.5 · questionnaire 2 · sampling 1.5 · processing 2 · conclusion 1

Asked in: Unit II notes + standard textbooks

Q56. [3 marks] List the stages of the consumer buying decision process and explain the "evoked set".

Decision process · ***

> Problem recognition → Information search → Evaluation of alternatives → Purchase decision → Purchase → Post-purchase evaluation

The **evoked set** is the group of alternatives a buyer is left with after a successful information search; the buyer then ranks them on chosen criteria.

Marking scheme: Stages 2 + evoked set 1

Q57. [2 marks] What is a Marketing Information System (MIS)?

MIS · ***

A Marketing Information System is a system that **collects, organises and uses marketing information** about sales, customers and competitors so managers can take sound decisions.

- Components: internal records, marketing intelligence, marketing research, data warehousing, information output.

Marking scheme: Definition 1.5 + components 0.5

Q58. [3 marks] Differentiate between marketing research and MIS.

MIS · ***

Marketing research	MIS
Seeks specific external information to solve a research problem	Handles internal data (orders, sales, inventory) and external data
Focuses on past information	Continuous, forward-looking system
One source of information for the MIS	Broader system that includes research

Marking scheme: 3 differences × 1

Q59. [5 marks] Explain the components of a Marketing Information System.

MIS · ***

Component	Meaning	Example (coffee chain)
Internal records	Data generated inside the firm - orders, sales, costs, inventory	Loyalty-app purchases
Marketing intelligence	External information on competitors and trends	Rivals' new launches
Marketing research	Systematic study of specific problems	Flavour survey
Data warehousing	Central storage of data for analysis	Cloud sales data
Information output	Reports and dashboards for managers	Store-manager dashboard

Together they gather, store, analyse and deliver information for timely decisions.

Marking scheme: Five components 1 mark each

Asked in: Unit II notes + standard textbooks

Q60. [6 marks] What is an MIS? Explain its importance and process.

MIS · ***

An **MIS** collects, organises and uses marketing information. Kotler: a continuing structure of people, equipment and procedures to gather, sort, analyse, evaluate and distribute pertinent, timely and accurate information to decision makers.

Importance

- Better decision making; understanding of the market.
- Competitive edge; optimum use of resources.
- Performance measurement; lower risk and cost; customer satisfaction; strategic planning.

Process (cyclical)

Flow: Collection → Processing → Storage → Retrieval → Dissemination

Data is collected from internal records, intelligence and research, processed into information, stored in a database, retrieved when needed and delivered to managers as reports.

Marking scheme: Definition 2 · importance 2 · process 2

Asked in: Unit II notes + standard textbooks

Q61. [10 marks] Explain the Marketing Information System and marketing research. How are they related?

MIS & research · ***

1. Marketing Information System (MIS)

Kotler: an MIS is a **continuing and interacting structure of people, equipment and procedures to gather, sort, analyse, evaluate and distribute pertinent, timely and accurate information** to marketing decision makers.

Component	Meaning	Example (coffee chain)
Internal records	Data generated inside the firm - orders, sales, costs	Loyalty-app purchases
Marketing intelligence	Everyday information on competitors and trends	Rivals' new launches
Marketing research	Systematic study of specific problems	Flavour survey
Data warehousing	Central storage of data	Cloud sales data
Information output	Reports, dashboards	Store-manager dashboard

Flow: Collection → Processing → Storage → Retrieval → Dissemination

Importance: better decisions, market understanding, competitive edge, optimum use of resources, performance measurement.

2. Marketing research

The **systematic and objective** design, collection, analysis and reporting of data relevant to a specific marketing problem.

Flow: Define the problem → Research design → Data types and sources → Data collection forms → Sampling → Collect data → Analyse and interpret → Report

Data may be **primary** / **secondary**; samples may be **probability** / **non-probability**.

3. Relationship

Basis	Marketing research	MIS
Nature	Specific, one-time study of a problem	Continuous, ongoing system
Source	Mainly external sources	Internal and external
Scope	One component of MIS	Includes research, records, intelligence and analysis
Time	Project-based	Permanent

Example: Foldable-phone launch: the firm commissions a study (research) whose findings are stored and reused in the firm's MIS.

4. Conclusion

Research feeds the MIS with fresh external facts; the MIS turns scattered facts into regular decision support.

Marking scheme: MIS 3 · research 3 · relationship table 3 · conclusion 1

Asked in: Unit II notes + standard textbooks

Q62. [2 marks] Define marketing research.

Marketing research · ***

Marketing research is the **systematic and objective study** of problems pertaining to the marketing of goods and services.

AMA (1961): "systematic gathering, recording and analysing of data relating to the marketing of goods and services."

Marking scheme: Definition 1.5 + author 0.5

Q63. [2 marks] What is test marketing?

Marketing research · **

A **small-scale launch of a product in a selected area** to find the likely acceptance before it is introduced in the wider market.

Marking scheme: Meaning 2

Q64. [3 marks] Distinguish between basic and applied research.

Marketing research · **

Basic research	Applied research
Not in response to a problem; expands knowledge	Seeks solutions to a problem at hand
No commercial potential	Has commercial implications
E.g. understanding typhoid	E.g. improving worker productivity on machine X

Marking scheme: 3 points × 1

Q65. [5 marks] Explain the steps in the marketing research process.

Marketing research · ***

Flow: Define the problem → Research design → Data sources → Data collection forms → Sampling → Collect data → Analyse → Report

Step	Explanation
Define the research problem	Turn the decision problem into a research problem - the most important step
Determine research design	Exploratory, descriptive or causal
Identify data types and sources	Primary or secondary
Design data collection forms	Observation sheet or tested questionnaire
Determine sampling design and size	Probability or non-probability
Collect the data	Supervised fieldwork
Analyse and interpret	Edit, code, tabulate; hypothesis tests
Prepare the report	Objectives, methodology, results, recommendations

Example: Should a smartphone brand launch a foldable phone? Research problem: will target buyers accept it at the planned price?

Marking scheme: Eight steps 4 · example 1

Asked in: Unit II notes + standard textbooks

Q66. [5 marks] Distinguish between exploratory, descriptive and causal research.

Marketing research · ***

Basis	Exploratory	Descriptive	Causal
Purpose	Clarify the problem, form hypotheses	Describe who, what, when, where, how	Find cause and effect
Nature	Flexible, informal	Rigid, structured	Controlled experiments
Methods	Literature, focus groups, case studies	Surveys, observation	Lab and field experiments, simulation
Data	Mostly secondary	Primary and secondary	Primary
Example	Talk to reviewers about foldable phones	Survey 1,000 owners	A/B test of two prices

Marking scheme: Five bases 1 mark each

Asked in: Unit II notes + standard textbooks

Q67. [5 marks] Explain the importance of marketing research.

Marketing research · ***

- **Understands** customer needs and preferences.
- **Identifies** market trends and shifts in behaviour.
- **Assesses** the competitive landscape - rivals' strengths and weaknesses.
- **Reduces risk** by testing feasibility before big decisions.
- **Optimises** marketing strategy - right audience, message and channel.

Research reduces uncertainty and raises the probability and size of success; it is a tool, not a guarantee.

Marking scheme: Five points 1 each

Asked in: Unit II notes + standard textbooks

Q68. [6 marks] Define marketing research and explain its scope and types.

Marketing research · ***

Marketing research is the systematic and objective study of marketing problems - collecting, analysing and reporting data to support decisions.

Scope

Area	Example
Product management	Test marketing, concept testing
Sales analysis	Market potential, market share, demand forecasts
Corporate research	Company image
Advertising research	Recall, readership
Syndicated research	Shared panel data

Types

- Primary vs secondary; qualitative (focus groups) vs quantitative (surveys).
- Exploratory vs conclusive (descriptive, causal); observational and experimental.

Note: market research studies an industry; marketing research solves a specific marketing problem.

Marking scheme: Definition 1 · scope 2.5 · types 2 · note 0.5

Asked in: Unit II notes + standard textbooks

Q69. [6 marks] Explain the sources of data (primary and secondary) with their merits and demerits.

Marketing research · ***

Secondary data (desk research)

- **Internal:** sales, finance, marketing, HR and storage records.
- **External:** government bodies, published and commercial sources, international agencies.

Merits: economical, quick, sometimes more accurate (census). **Demerits:** may not fit the problem, outdated, definitions differ, source bias.

Primary data

- Observation (what people do), questionnaire / survey (personal, telephone, mail), interviews, focus groups, experiments.

Merits: specific and current. **Demerits:** costly and time-consuming.

Basis	Secondary	Primary
Cost	Low	High
Time	Quick	Slow
Fit	Often partial	Exact

Ideal sequence: secondary first, then primary to fill the gaps.

> **Marking scheme:** Secondary 2.5 · primary 2.5 · sequence 1

Asked in: Unit II notes + standard textbooks

Q70. [6 marks] Explain the research report: contents and how to present it (oral vs written).

Marketing research · ***

Contents

- Authorisation letter, table of contents, list of illustrations.
- Executive summary, research objectives, methodology.
- Results, limitations, conclusions and recommendations.
- Appendices (questionnaires, tables).

Oral vs written

Basis	Oral	Written
Visuals	Few; audience cannot control the pace	Charts and diagrams; can be re-read
Precision	Less precise	More precise and scrutinised
Interaction	Questions and discussion	No immediate discussion

Oral tips: know the audience, rehearse, use simple language and use visual aids sparingly.

> **Marking scheme:** Contents 2.5 · oral vs written 2.5 · tips 1

Asked in: Unit II notes + standard textbooks

Q71. [6 marks] Distinguish between qualitative and quantitative research with examples.

Marketing research · ***

Basis	Qualitative	Quantitative
Purpose	Explore attitudes and motives - the "why"	Measure and test hypotheses - the "how many"
Data	Non-numeric	Numeric
Sample	Few respondents	Large, random sample
Methods	Focus groups, in-depth interviews, projective techniques	Surveys, questionnaires, experiments
Analysis	Thematic / content analysis	Statistical techniques
Generalisable?	No	Yes, to the population

> **Example:** Focus group on why teens prefer a drink (qualitative); national survey of 2,000 buyers on preference share (quantitative).

Often both are used: secondary research → focus group → national survey.

Marking scheme: Any 5 differences 4 · examples 1 · note 1

Asked in: Unit II notes + standard textbooks

Q72. [3 marks] Explain the four levels of measurement.

Measurement · **

1. **Nominal** - labels only (gender).
2. **Ordinal** - rank order (brand preference).
3. **Interval** - equal gaps, arbitrary zero (temperature).
4. **Ratio** - true zero, ratios meaningful (income).

Marking scheme: 4 × ¾

Q73. [6 marks] Explain the four levels of measurement with examples and suitable statistics.

Measurement · ***

Level	What it does	Example	Statistics
Nominal	Labels categories (haves / have-nots)	Gender, religion	Counts, mode, %
Ordinal	Ranks objects; size of difference unknown	Brand preference rank	Median, mode, %
Interval	Equal intervals, arbitrary zero	Temperature in °C	Mean, SD [extra]
Ratio	Equal intervals and a true zero	Sales, income, weight	All statistics [extra]

Each higher level has all the properties of the levels below. Measurement assigns numerals to characteristics of objects, not to the objects themselves. Memory aid: **NOIR**.

Marking scheme: Four levels 4 · remark 2

Asked in: Unit II notes + standard textbooks

Q74. [3 marks] Name the types of observation used in marketing research.

Observation · **

- Structured / unstructured
- Disguised / undisguised
- Natural / laboratory (contrived) setting
- Direct / indirect
- Human / mechanical (hidden cameras, audiometers)
- Participant / non-participant

Marking scheme: 6 types, ½ each

Q75. [3 marks] Distinguish between open-ended and closed questions.

Questionnaire · ***

Closed	Open-ended
Respondent picks from stated alternatives	Respondent answers in own words
Easy to analyse	Rich but harder to analyse
E.g. "Do you use Brand X? Yes / No"	E.g. "What do you like most about this product?"

Marking scheme: 3 points × 1

Q76. [5 marks] Explain the steps in developing a questionnaire.

Questionnaire · ***

Flow: Information required → Target respondents → Method → Question content → Question type → Order and format → Closing → Appearance → Pilot test

- Decide the **information required** and the **target respondents**.
- Select the **method** to reach them (personal, group, mail, telephone).
- Decide the **content** and **type** of questions - closed or open.
- Put questions in a meaningful **order**, with easy ones first; add closing questions.

- Check **physical appearance**; **pilot test** on a few respondents and revise.

Marking scheme: Steps 4 · explanation 1

Asked in: Unit II notes + standard textbooks

Q77. [2 marks] What is research design?

Research design · ***

The **blueprint for research** - the specification of methods and procedures for acquiring the information needed (Green and Tull): what information, from which sources, by what procedures.

- Types: exploratory, descriptive, causal.

Marking scheme: Meaning 1.5 + types 0.5

Q78. [3 marks] Explain exploratory, descriptive and causal research in brief.

Research design · ***

1. **Exploratory** - used when the problem is unclear; flexible; focus groups, case studies, secondary data.
2. **Descriptive** - describes who, what, when, where, how; surveys and observation; cannot show cause.
3. **Causal** - tests cause and effect through experiments.

Marking scheme: 3 × 1

Q79. [10 marks] Explain research designs, sampling methods and the levels of measurement used in marketing research.

Research design & sampling · ***

1. Research designs

Design	Purpose	Methods	Example
Exploratory	Clarify the problem, form hypotheses	Secondary data, focus groups, case studies	Talk to reviewers about foldable phones
Descriptive	Describe who, what, when, where, how	Surveys, observation	Survey of 1,000 phone owners
Causal (experimental)	Find cause and effect	Lab and field experiments	A/B test of two prices

2. Sampling

A **sample** is a part of the population chosen to represent it; the list from which it is drawn is the **sampling frame**.

Probability sampling	Non-probability sampling
Simple random - equal known chance; Systematic - every k-th unit; Stratified - sample each homogeneous stratum; Cluster / area - sample whole clusters	Convenience - easy-to-reach units; Judgment - expert choice; Quota - fixed numbers per group; Snowball - respondents refer others

- Probability: representative; sampling error can be measured.
- Non-probability: cheap and quick; suits exploratory work; representativeness cannot be measured.

3. Levels of measurement (NOIR)

Level	Property	Example	Statistics
Nominal	Labels categories	Gender, religion	Counts, mode, %
Ordinal	Ranks, no size of difference	Brand preference rank	Median, mode
Interval	Equal intervals, arbitrary zero	Temperature in °C	Mean, SD
Ratio	Equal intervals and true zero	Sales, income, weight	All statistics

4. Data analysis (link)

Univariate → hypothesis testing (H0 vs H1; Z, t, F, χ^2) → bivariate → multivariate; Pareto 80:20.

5. Conclusion

The design, the sample and the scale together decide whether the findings are accurate and useful.

Marking scheme: Designs 3 · sampling 3 · measurement 3 · conclusion 1

Asked in: Unit II notes + standard textbooks

Q80. [2 marks] Why is defining the research problem the most important step?

Research process · ***

"A problem well defined is half-solved." The decision problem must be turned into a research problem; a poorly defined problem cannot be fixed by a good research design.

Example: Decision: launch a foldable phone? Research problem: will target buyers accept it at the planned price?

Marking scheme: Reason 1.5 + example 0.5

Q81. [2 marks] What is a questionnaire?

Research tools · **

A **data-collecting instrument containing a list of questions** to secure the desired information from respondents (by mail, phone, computer or in person). It must be tested (piloted) before use.

Marking scheme: Meaning 1.5 + pilot 0.5

Q82. [2 marks] What is a sampling frame?

Sampling · **

The **list of all eligible sampling units** from which a sample is drawn, e.g. voters' list or customer list.

Marking scheme: Meaning 1.5 + example 0.5

Q83. [3 marks] Distinguish between probability and non-probability sampling.

Sampling · **

Probability	Non-probability
Known, equal chance of selection	Selection by convenience / judgment
Representative; sampling error measurable	Representativeness unknown
SRS, systematic, stratified, cluster	Convenience, judgment, quota, snowball

Marking scheme: 3 × 1

Q84. [5 marks] Explain the probability sampling methods.

Sampling · ***

Method	How it works	Example
Simple random	Every unit has a known, equal chance (lottery / random numbers)	Draw 100 roll numbers from 1,000
Systematic	Interval = list size ÷ sample size; random start	Every 10th customer
Stratified	Divide into homogeneous strata; sample each (proportionate / disproportionate)	Sample each income group
Cluster / area	Mutually exclusive clusters, each representative; area sampling uses geographic clusters (one-step / two-step)	Select 5 city wards

Advantage: representative; sampling error can be measured.

Marking scheme: Four methods 1 each · advantage 1

Asked in: Unit II notes + standard textbooks

Q85. [5 marks] Explain the non-probability sampling methods.

Sampling · ***

Method	How it works
Convenience	Units chosen at the researcher's convenience; early stages

Judgment (purposive)	An expert selects the most suitable participants
Quota	Pre-set quotas of demographic or behavioural groups are filled
Snowball (referral)	Respondents refer others; for rare populations

Used for exploratory work and pre-testing; cheap and quick, but representativeness cannot be measured.

Marking scheme: Four methods 4 · use 1

Asked in: Unit II notes + standard textbooks

Q86. [3 marks] State the advantages and disadvantages of secondary data.

Secondary data · ***

Advantages	Disadvantages
Economical and quick	May not fit the problem exactly
Large samples (census) can be accurate	Definitions and units may differ
Useful in exploratory stage	May be outdated or biased

Use multiple sources and cross-check.

Marking scheme: 3 + 3 points (½ each)

Unit III

Q87. [10 marks] Discuss positioning and repositioning strategies of Indian brands with at least six examples.

Indian brand cases · ***

1. Introduction

Positioning is a choice; repositioning is survival. Brands change their story when the market, the customer or competition moves on.

2. Positioning cases

Brand	Idea owned	Why it worked
Fevicol	Unbreakable strength - "Fevicol ka jod hai, tootega nahi"	One word owned for decades
Amul	"The Taste of India"	Co-operative pride + topical Amul Girl ads
Parle-G	"G for Genius"	Affordable nutrition for the masses
Raymond	"The Complete Man"	Sold identity, not cloth
Nirma	"Sabki Pasand"	Price-led value when rivals went premium
OYO	Trusted budget stay	Standardised a fragmented category

3. Repositioning cases

Brand	Before	After
Maruti Suzuki	Mass-market car brand	NEXA premium experience (2015)
Titan	Time-telling device	Fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat	"Kuch Meetha Ho Jaye" for all ages (1994)
Lifebuoy	Carbolic soap	Health and hygiene mission
Surf Excel	Functional stain removal	"Daag Achhe Hain" - values (2010)
Airtel	Network features	Emotional youth storytelling (2010)

4. Lessons

- Own **one** clear idea.
- Reposition only with evidence; the product must support the new promise.
- Every case began with a **customer insight**.

5. Conclusion

The strongest Indian brands either own a single idea (Fevicol, Amul) or reinvent it when the market changes (Titan, NEXA, Cadbury).

Marking scheme: Introduction 1 · positioning cases 3 · repositioning cases 3 · lessons 2 · conclusion 1

Asked in: Unit III assignment (AI-based) Q3

Q88. [2 marks] Name two Indian brands that are positioned on a single idea and state the idea.

Indian brands · ***

- **Fevicol** - unbreakable strength ("Fevicol ka jod hai, tootega nahi").
- **Parle-G** - "G for Genius": affordable nutrition and energy for everyone.

Marking scheme: 2 × 1

Q89. [3 marks] Explain how Cadbury Dairy Milk repositioned itself in India.

Indian brands · ***

1. **Before:** seen mainly as a children's treat; adults rarely bought it.
2. **Move (1994):** the "Kuch Meetha Ho Jaye" campaign and cricket-ground dance ad reframed it as a way to celebrate any moment.
3. **Result:** India's largest chocolate brand bought by all age groups - an **intangible repositioning** that opened a new user base.

Marking scheme: 3 × 1

Q90. [6 marks] Explain with Indian examples how brands (a) position and (b) reposition themselves.

Indian brands · ***

(a) Positioning - owning one idea

Brand	Positioning
Fevicol	Unbreakable strength - "Fevicol ka jod hai, tootega nahi"
Amul	"The Taste of India"; everyday dairy with topical ads
Parle-G	"G for Genius" - affordable nutrition for all
Raymond	"The Complete Man" - fabric as identity

(b) Repositioning - changing the story

Brand	From → To
Maruti Suzuki	Mass-market car → premium NEXA experience (2015)
Titan	Time-telling device → fashion accessory; Fastrack for youth
Cadbury Dairy Milk	Children's treat → "Kuch Meetha Ho Jaye" for all ages
Lifebuoy	Carbolic soap → health and hygiene mission
Surf Excel	"Removes stains" → "Daag Achhe Hain" (values)
Airtel	Network features → emotional "Har Ek Friend Zaroori Hai"

Marking scheme: Positioning 3 · repositioning 3

Asked in: Unit III assignment (AI-based) Q3

Q91. [2 marks] What is positioning? What is repositioning?

Positioning · ***

Positioning is designing the offering and image to occupy a distinctive place in the **mind of the target market** relative to competitors.

Repositioning is deliberately changing that perception, with or without changing the product.

Marking scheme: Each 1

Asked in: Unit III assignment (AI-based) Q3

Q92. [2 marks] What is a perceptual map?

Positioning · **

A diagram plotting competing brands on **two attributes that matter to buyers** (e.g. price and quality) to show crowded positions and the **white space** where a new brand or repositioning can fit.

Marking scheme: Meaning 1.5 + use 0.5

Q93. [3 marks] Explain any three bases of positioning with examples.

Positioning · ***

1. **Attribute** - Volvo: crash safety.
2. **Benefit** - Sensodyne: relief from sensitivity.
3. **Use** / **occasion** - Gatorade: post-workout.
4. **User** - Johnson's: baby-safe care.
5. **Competitor** - Avis "We try harder".
6. **Category** - Red Bull.
7. **Quality** / **price** - Zara.

Marking scheme: 3 × 1

Asked in: Unit III assignment (AI-based) Q3

Q94. [3 marks] What are the four approaches to repositioning?

Positioning · ***

Approach	Product	Audience	Example
Image	Same	New perception	Old Spice
Product	Improved	Same	Domino's
Intangible	Same	New segment	Cadbury Dairy Milk
Tangible	New	New	Highest risk, highest reward

Marking scheme: 4 × ¾

Q95. [5 marks] Distinguish between positioning and repositioning.

Positioning · ***

Basis	Positioning	Repositioning
When used	New brand or product entering a market	Existing brand facing decline or market shift
Goal	Establish a clear, distinct place in the mind	Change or refresh the existing perception
Starting point	Blank slate	Must overcome an existing, often outdated, perception
Risk	Lower	Higher - old associations resurface
Product change	Not required	May or may not be required
Example	FedEx (1970s)	Old Spice (2010)

Marking scheme: Any 5 bases 1 mark each

Asked in: Unit III assignment (AI-based) Q3

Q96. [6 marks] What is positioning? Explain its bases and the approaches to repositioning with Indian examples.

Positioning · ***

Positioning = owning a distinct place in the customer's mind relative to competitors. Ries and Trout: "what you do to the mind of the prospect."

Bases

Base	Example

Attribute	Volvo - safety
Benefit	Sensodyne
Use / occasion	Gatorade
User	Johnson's
Competitor	Avis
Category	Red Bull
Quality / price	Zara

Repositioning approaches

Approach	Example
Image	Old Spice (2010)
Product	Domino's recipe change
Intangible (new user base)	Cadbury Dairy Milk "Kuch Meetha Ho Jaye"
Tangible	Maruti NEXA premium retail (2015)

Other Indian cases: Fevicol, Amul, Titan / Fastrack, Lifebuoy, Surf Excel "Daag Achhe Hain".

> **Marking scheme:** Meaning 1 · bases 2 · approaches 2 · Indian cases 1

Asked in: Unit III assignment (AI-based) Q3

Q97. [10 marks] Explain positioning and repositioning: meaning, bases, positioning statement, perceptual mapping, repositioning triggers and approaches with cases.

Positioning & repositioning · ***

1. Meaning

Positioning is occupying a distinct place in the customer's mind relative to competitors (Ries and Trout: "what you do to the mind of the prospect"). It is about **perception**, it is **relative** to competitors and it is a **deliberate strategic choice**.

2. Seven bases

Base	Example
Attribute	Volvo - safety
Benefit	Sensodyne - sensitivity relief
Use / occasion	Gatorade - after sports
User	Johnson's - babies
Competitor	Avis - "we try harder"
Category	Red Bull - energy drink
Quality / price	Zara - fast fashion at fair price

3. Positioning statement

```
For [target segment] who [need], [Brand] is a [category] that [key benefit],
unlike [competitor], because [reason to believe].
```

4. Perceptual map

> Axes: Price (low-high) × Quality (low-high). Plot brands; empty spaces = "white space" for a new position.

5. Repositioning - triggers and approaches

Triggers: falling sales, shifting consumer values, new competitors, an image out of sync with the market.

Approach	Product	Audience	Case

Image	Same	New perception	Old Spice (2010) - new comic voice
Product	Improved	Same	Domino's (2009) - new recipe and honesty
Intangible	Same	New segment	Cadbury Dairy Milk - "Kuch Meetha Ho Jaye"
Tangible	New	New	Maruti NEXA premium retail (2015)

Other Indian cases: Fevicol, Amul, Titan / Fastrack, Lifebuoy, Surf Excel "Daag Achhe Hain".

6. Conclusion

Position first, reposition only with evidence - the product must support the new promise.

> **Marking scheme:** Meaning 1.5 · bases 2 · statement and map 2 · triggers and approaches 3 · conclusion 1.5

Asked in: Unit III assignment (AI-based) Q3

Q98. [3 marks] What is STP? Explain in brief.

STP · ***

Step	Meaning	Question
Segmentation	Divide the total market into homogeneous groups	Who are the groups?
Targeting	Choose which segment(s) to serve	Whom should we serve?
Positioning	Build a distinct place in the customer's mind	How should we be seen?

The marketing mix (4Ps) is then designed for the chosen target.

> **Marking scheme:** 3 × 1

Q99. [10 marks] Explain the STP process: segmentation (bases and benefits), targeting (strategies) and positioning (bases and repositioning).

STP · ***

1. Introduction

Modern marketing is **target marketing**, done in three steps - **Segmentation, Targeting, Positioning (STP)**. The firm divides the market, picks the segments it can serve best and then builds a clear image in the minds of those customers.

Flow: Segmentation (divide) → Targeting (choose) → Positioning (position in the mind)

2. Segmentation

Dividing a heterogeneous market into **homogeneous groups** of buyers with similar needs (Kotler).

Base	Question	Variables
Geographic	Where?	Region, climate, urban / rural, population density
Demographic	Who?	Age, gender, income, occupation, family size, education
Psychographic	Why / what kind?	Lifestyle, personality, values, attitude
Behavioural	How do they buy?	Benefits sought, usage rate, loyalty, occasion

Benefits: right choice of target, a mix matched to customer expectations, efficient use of effort, and small firms can compete with large ones.

3. Targeting

Strategy	Meaning	Example
Undifferentiated	One offer for the whole market	Salt

Differentiated	Different offers for several segments	Titan, Fastrack, Sonata
Concentrated (niche)	Large share of one small segment	Rolls-Royce
Micromarketing	Local or individual level	Netflix, "Share a Coke"

Criteria for effective targeting: measurable, accessible, substantial, differentiable, actionable.

4. Positioning

Owning a distinct place in the customer's mind relative to competitors. **Bases:** attribute (Volvo - safety), benefit (Sensodyne), use / occasion (Gatorade), user (Johnson's), competitor (Avis), category (Red Bull), quality / price (Zara).

Repositioning - changing an existing position by **image**, **product**, **intangible** (new user) or **tangible** change.

> **Example:** Maruti NEXA (premium retail), Cadbury "Kuch Meetha Ho Jaye", Fevicol (strength).

5. Conclusion

STP turns mass marketing into focused marketing; the 4Ps are then designed to fit the chosen target and position.

> **Marking scheme:** Introduction 1 · segmentation 3 · targeting 2.5 · positioning 2.5 · conclusion 1

Asked in: Unit III assignment (AI-based)

Q100. [2 marks] Define market segmentation.

Segmentation · ***

Kotler: sub-dividing of customers into **homogeneous sub-sets**, where any sub-set may conceivably be selected as a market target to be reached with a **distinct marketing mix**.

> **Marking scheme:** Definition 2

Asked in: Unit III assignment (AI-based) Q1

Q101. [3 marks] Explain any three bases of market segmentation.

Segmentation · ***

Base	Variables	Example
Geographic	Region, climate, urban/rural	Metro vs rural pricing
Demographic	Age, gender, income	HCL below ₹10,000 income PCs
Psychographic	Lifestyle, personality	Titan watches
Behavioural	Benefits sought, usage rate, loyalty	Johnson's loyalty

> **Marking scheme:** 3 bases × 1

Asked in: Unit III assignment (AI-based) Q1

Q102. [5 marks] Explain the benefits of market segmentation.

Segmentation · ***

- **Distinguishes** one customer group from another.
- **Helps choose** the right target market.
- **Matches the marketing mix** to customer expectations precisely.
- **Small firms** with limited resources can compete efficiently in chosen segments.
- **Efficient effort** - divide and conquer; avoids wasted promotion.
- **Better understanding** of customer needs and preferences.

Link: STP = Segmentation → Targeting → Positioning.

> **Marking scheme:** Any 5 points 1 each

Asked in: Unit III assignment (AI-based) Q1

Q103. [6 marks] Explain the bases of market segmentation with examples and state its benefits.

Segmentation · ***

Base	Variables	Example
Geographic	Climate, region, country, urban / rural	Metro vs rural pricing
Demographic	Age, gender, income, occupation, family size, education	HCL: below ₹10,000 income group → 14.5% share
Psychographic	Lifestyle, personality, values, attitude	Titan, Cafe Coffee Day
Behavioural	Benefits sought, usage rate, loyalty, occasion	Johnson's; Cadbury for occasions

Benefits

- Distinguishes one customer group from another.
- Facilitates choice of target market and efficient effort.
- Marketing mix matches customer expectations.
- Small firms with limited resources compete better.

Marking scheme: Four bases 3 · benefits 3

Asked in: Unit III assignment (AI-based) Q1

Q104. [2 marks] What is niche (concentrated) marketing?

Targeting · **

Going after a **large share of one or a few small segments** instead of a small share of a large market, allowing deep specialisation.

Example: Rolls-Royce in ultra-luxury cars.

Marking scheme: Meaning 1.5 + example 0.5

Q105. [3 marks] State the criteria for effective targeting.

Targeting · ***

1. **Measurable** - size and purchasing power can be estimated.
2. **Accessible** - can be reached and served.
3. **Substantial** - large and profitable enough.
4. **Differentiable** - responds differently to different mixes.
5. **Actionable** - programmes can be designed and executed.

Marking scheme: 5 criteria, ⅗ each

Q106. [5 marks] Explain the criteria for effective targeting.

Targeting · ***

Criterion	Meaning	Check
Measurable	Size, purchasing power and profile can be estimated	Do we have data?
Accessible	Can be reached and served through distribution and promotion	Can we reach them?
Substantial	Large and profitable enough for a dedicated programme	Is it worth the cost?
Differentiable	Responds differently to different marketing mixes	Does it behave differently?
Actionable	Effective programmes can be designed and executed	Can we do it?

Example: Amul targets household, premium and youth segments with separate offers.

Marking scheme: Five criteria 4 · example 1

Asked in: Unit III assignment (AI-based) Q2

Q107. [6 marks] What is market targeting? Explain the targeting strategies with examples.

Targeting · ***

Targeting means evaluating market segments and selecting one or more of them to enter. It is the bridge between segmentation and positioning.

Strategy	Meaning	Example	Suitable when
Undifferentiated (mass)	One offer for the whole market	Salt, Coca-Cola classic	Needs are similar
Differentiated	Separate offers for several segments	Titan / Fastrack / Sonata; Amul	Large firm with resources
Concentrated (niche)	Large share of one small segment	Rolls-Royce, Rolex	Limited resources or luxury
Micromarketing	Local or individual level	Netflix, "Share a Coke"	Data and technology available

Criteria: measurable, accessible, substantial, differentiable, actionable.

Marking scheme: Meaning 1 · four strategies 4 · criteria 1

Asked in: Unit III assignment (AI-based) Q2

Q108. [2 marks] What is a value proposition?

Value proposition · ***

A short statement that explains **what benefit** a product gives, **what problem** it solves and **why the customer should choose it** over competitors.

```
For [customer] who [problem], our [product] gives [benefit], unlike [others].
```

Marking scheme: Definition 1.5 + formula 0.5

Asked in: Unit III assignment (AI-based) Q4

Q109. [3 marks] State the types of value propositions with one example each (any three).

Value proposition · **

1. **Low pricing** - Jio.
2. **Customisation** - Nike By You.
3. **Convenience** - Swiggy.
4. **Uniqueness** - Apple "Think Different".
5. **Innovation** - Tesla.
6. **Customer results** - Uber, Slack.
7. **Quality** - Tata.

Marking scheme: 3 × 1

Q110. [3 marks] How do you write a value proposition? (steps)

Value proposition · ***

1. Determine the ideal customer profile.
2. Identify the main pain point.
3. Show how the product solves it.
4. Craft a clear message.
5. Test it (A/B testing).
6. Refine and align across touchpoints.

Marking scheme: 6 steps, ½ each

Asked in: Unit III assignment (AI-based) Q4

Q111. [6 marks] What is a value proposition? Explain its types and how to write one.

Value proposition · ***

A **value proposition** states the benefit given, the problem solved and why customers should choose you.

Type	Example
Low pricing	Jio
Quality	Tata
Customisation	Nike By You

Convenience	Swiggy
Uniqueness	Apple
Innovation	Tesla
Customer results	Uber, Slack, Duolingo

How to write

Flow: Know the ideal customer → Find the pain point → Show how you solve it → Craft a clear message → Test it (A/B) → Refine and align across touchpoints

> **Marking scheme:** Meaning 1.5 · types 2.5 · steps 2

Asked in: Unit III assignment (AI-based) Q4

Q112. [10 marks] What is a value proposition? Explain its types, how to write one, the keys to a good one and the difference between brand and product value propositions.

Value proposition · ***

1. Meaning

A **value proposition** is a statement explaining **what benefit** a product or service gives, **what problem it solves** and **why customers should choose it over competitors**.

```
Problem → Solution → Benefit → Why us
```

2. Seven types

Type	Meaning	Example
Low pricing	Cheapest or best price	Jio - free calls and cheap data
Quality	Reliable, high-grade product	Tata - a name families trust
Customisation	Made to the buyer's own choice	Nike By You
Convenience	Saves time and effort	Swiggy
Uniqueness	Nothing else like it	Apple "Think Different"
Innovation	New technology or idea	Tesla
Customer results	Promises a measurable outcome	Uber, Slack, Duolingo

3. Steps to write one

Flow: Know the ideal customer (ICP) → Find the pain point → Show how you solve it → Craft a clear message → Test it (A/B) → Refine and align across touchpoints

4. Keys to success

- Focus on customer needs.
- Keep it simple and clear.
- Show your edge over competitors.
- Test and refine.
- Get personal - speak to one customer type.

5. Brand vs product value proposition

Brand VP	Product VP
Why the company exists; consistent across touchpoints	Why one item is worth buying; tactical
Nike: inspire every athlete	Running shoe: light and soft for long runs

> **Example:** For hungry students who hate queues, our Pre-Order Canteen serves hot food in 5 minutes.

6. Conclusion

A strong value proposition is the base of positioning: it is the promise that the whole marketing mix must keep.

Marking scheme: Meaning 1.5 · types 3 · steps 2 · keys 1 · brand vs product 1.5 · example 1

Asked in: Unit III assignment (AI-based) Q4

Unit IV

Q113. [6 marks] Explain price adaptation strategies and price discrimination with examples.

Adapting Prices · ***

Adapting prices

Strategy	Meaning	Example
Psychological	Prices that appeal to emotion	Rs 999 instead of Rs 1,000
Promotional	Temporary price cuts	Festival sale
Geographical	Price by location / transport	Delivery charges, zone pricing
Discounts and allowances	Cash, quantity, seasonal discounts	2% for early payment
Product-mix pricing	Pricing across a line or bundle	Bundle pricing

Price discrimination

Charging **different prices for the same product** to different customers without a matching cost difference - by segment (student discount), time (peak and off-peak), place or product version. It works only if the market can be separated and buyers cannot resell.

Marking scheme: Adapting strategies 3 · discrimination 3

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q114. [6 marks] What is advertising? Explain its objectives, media and the steps in making an advertising decision.

Advertising · ***

Meaning

Advertising is any paid, non-personal presentation of ideas, goods or services by an identified sponsor.

Objectives

- Inform (launch), persuade (build preference), remind (keep awareness).

Media

- Television, newspapers and magazines, radio, outdoor hoardings, cinema, internet and mobile.

Steps

Flow: Set objectives → Budget → Message (copy) → Media selection → Evaluate results

Marking scheme: Meaning 1 · objectives 1.5 · media 1.5 · steps 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q115. [2 marks] Define brand equity.

Branding · ***

The added value a brand gives to a product - arising from brand awareness, loyalty, perceived quality and associations - so that customers prefer it and pay more.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q116. [6 marks] What is a brand? Explain brand name, brand mark, trademark and brand equity. Discuss any two branding strategies.

Branding · ***

Meaning

A **brand** is a name, term, sign, symbol or design - or a combination - that identifies one seller's goods and separates them from competitors.

Term	Meaning	Example
Brand name	The part that can be spoken	Nike
Brand mark	The symbol or design	The swoosh
Trademark	Legally protected brand	Registered logo
Brand equity	Value a brand adds: awareness, loyalty, quality, associations	Customers pay more for the brand

Two strategies

- **Line extension** - new variants in the same category (new flavour of a biscuit).
- **Brand extension** - the existing brand used in a new category (a soap brand launching shampoo).

Features of a good brand name: short, easy to say and remember, suggests benefits, distinctive and registrable.

> **Marking scheme:** Meaning 1 · four terms 2 · two strategies 2 · features 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q117. [5 marks] Explain the role of digital media in promotion with its tools and benefits.

Digital Promotion · ***

- **Search engine marketing** - SEO and pay-per-click.
- **Social media marketing** and influencer / affiliate marketing.
- **Email and SMS** marketing; content and video marketing.

Benefits: precise targeting, measurable results (clicks, conversions), interactive, low entry cost. **Limits:** clutter and the need for data and skills.

> **Marking scheme:** Tools 3 · benefits 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q118. [5 marks] Explain intensive, selective and exclusive distribution with examples.

Distribution Channels · ***

Strategy	Meaning	Used for	Example
Intensive	Product in as many outlets as possible	Convenience goods	Soap, snacks
Selective	A limited number of chosen outlets	Shopping goods	Appliances
Exclusive	Only one outlet in a territory	Luxury goods	Luxury cars

The choice depends on the product, price, image wanted and the control the firm wants over the sale.

> **Marking scheme:** Three strategies 3 · examples 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q119. [10 marks] What are distribution channels? Explain the types (levels) of channels, the functions of intermediaries and the factors affecting channel choice.

Distribution Channels · ***

1. Meaning

A **distribution channel** is the path through which goods move from the producer to the consumer. **Place** makes goods available at the right time, place and quantity.

2. Channel levels

Channel	Path	Example
Zero-level (direct)	Manufacturer → Consumer	Own online store, door-to-door
One-level	Manufacturer → Retailer → Consumer	Car showroom
Two-level	Manufacturer → Wholesaler → Retailer → Consumer	FMCG goods
Three-level	Manufacturer → Agent → Wholesaler → Retailer → Consumer	Distant markets

3. Functions of intermediaries

- Break bulk and carry stock; time and place utility.
- Finance, risk-bearing, information and promotion; after-sales service.

4. Factors affecting channel choice

- Nature of product (perishable, bulky, technical).
- Market: number and location of customers.
- Manufacturer's resources and control wanted; competition; cost; legal rules.

5. Conclusion

Modern firms use omni-channel - physical and digital together - to maximise reach and convenience.

Marking scheme: Meaning 1 · levels table 4 · functions 2 · factors 2 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q120. [3 marks] Write short notes on warehousing and inventory management.

Logistics · **

Warehousing: storing goods in depots and distribution centres until they are needed, creating time utility.

Inventory management: keeping the right quantity of stock - enough to avoid stock-outs, not so much that it raises carrying cost.

Marking scheme: Each 1.5

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q121. [6 marks] What is logistics? Explain its elements and importance.

Logistics · ***

Meaning

Logistics (physical distribution) is the planning, implementing and controlling of the flow of goods from point of origin to point of use, to meet customer needs at a profit - the right goods, at the right place and time, in the right condition, at lowest total cost.

Elements

Element	Role
Order processing	Receive and execute orders quickly and accurately
Warehousing	Store goods in depots / distribution centres
Inventory management	Keep the right stock - avoid shortage and excess
Transportation	Road, rail, air, sea - cost, speed, safety
Materials handling and packaging	Protect goods in transit

Importance

- Customer satisfaction; cost saving; competitive advantage.

Marking scheme: Meaning 2 · elements 3 · importance 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q122. [2 marks] Define marketing mix.

Marketing Mix · ***

The set of controllable tools - product, price, place and promotion - that a firm blends to produce the response it wants in the target market.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q123. [10 marks] What is the marketing mix? Explain the 4Ps with decisions in each element and examples.

Marketing Mix · ***

1. Introduction

The **marketing mix** is the set of controllable tools - **Product, Price, Place and Promotion** - that a firm blends to get the response it wants from its target market (E. Jerome McCarthy; Kotler). The mix is built after segmentation, targeting and positioning, so that every P supports the chosen position.

2. The four Ps

P	Key decisions	Example
Product	Variety, quality, design, features, brand, packaging, services	A phone with brand, camera, warranty
Price	List price, discounts, credit terms, pricing method	Rs 999 psychological price
Place	Channels, coverage, locations, inventory, logistics	Soap in every kirana store
Promotion	Advertising, personal selling, sales promotion, PR, digital	TV ad plus social media campaign

3. 4Ps and 4Cs

4Ps (seller)	4Cs (buyer)
Product	Customer solution
Price	Customer cost
Place	Convenience
Promotion	Communication

4. Extended mix for services

Services add **People, Process and Physical evidence** (7Ps).

5. Conclusion

The four Ps must be consistent: a luxury product with a high price needs exclusive outlets and prestige advertising. A weak P spoils the whole mix.

Marking scheme: Introduction 2 · table of 4Ps 4 · 4Cs 1 · conclusion 1 · example 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q124. [10 marks] Explain the stages of new product development (NPD). Why do many new products fail?

New Product Development · ***

1. Introduction

New product development is the process of taking a new idea to the market. It reduces risk by screening ideas stage by stage.

2. Stages

Flow: Idea generation → Screening → Concept testing → Marketing strategy → Business analysis → Product development → Test marketing → Commercialisation

Stage	What happens

Idea generation	Ideas from customers, employees, R&D, competitors
Idea screening	Poor ideas dropped (GO / DROP)
Concept testing	Idea tested with target customers
Marketing strategy	Target market, positioning, first-year plan
Business analysis	Sales, cost and profit forecasts
Product development	Prototype, technical tests
Test marketing	Limited launch in a selected market
Commercialisation	Full launch: when, where, to whom, how

3. Reasons for failure

- Poor market research and wrong timing.
- High development cost, weak promotion or poor distribution.
- Product not different from existing ones.
- Over-estimated market size; strong competitor reaction.

4. Conclusion

Disciplined screening and test marketing are the best protection against failure.

> **Marking scheme:** Introduction 1 · stages with table 6 · failure reasons 2 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q125. [3 marks] What are the types of packaging? Give examples.

Packaging · **

- Primary - holds the product (toothpaste tube).
- Secondary - outer box that holds the primary pack.
- Tertiary - bulk cartons for shipping and storage.

> **Marking scheme:** 3 types 1 each

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q126. [5 marks] Explain the functions of packaging and the role of labelling.

Packaging · ***

Levels

- **Primary** - holds the product (toothpaste tube).
- **Secondary** - outer box.
- **Tertiary** - bulk shipping cartons.

Functions

- **Protection** from damage, spoilage and tampering.
- **Convenience** in storing, handling and use.
- **Promotion** - the 'silent salesman' attracts attention on the shelf.
- **Identification** of brand and variant.
- **Information** and safety instructions.

Labelling

The label gives brand, ingredients, MRP, net quantity, manufacturing / expiry dates, usage and warnings. It informs the buyer and meets legal requirements.

> **Marking scheme:** Levels 1 · functions 3 · labelling 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q127. [6 marks] Explain the steps in the personal selling process.

Personal Selling · ***

Flow: Prospecting → Pre-approach → Approach → Presentation and demonstration → Handling objections →

Closing → Follow-up

Step	What the salesperson does
Prospecting	Finds and qualifies likely buyers
Pre-approach	Learns about the prospect, plans the call
Approach	Meets the buyer, builds rapport
Presentation	Shows features and benefits, demonstrates
Handling objections	Answers doubts positively
Closing	Asks for the order
Follow-up	Ensures delivery, satisfaction, repeat sales

Marking scheme: Seven steps with explanation, 1 mark each (less 1)

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q128. [10 marks] What is pricing? Explain the factors affecting pricing and the main pricing methods with examples.

Pricing Methods · ***

1. Meaning

Price is the amount charged for a product or service. It is the only P that produces revenue and it signals quality and position.

2. Factors affecting pricing

Internal	External
Marketing objectives, cost, marketing-mix strategy, PLC stage	Demand, competition, economic conditions, government rules, channel members

3. Pricing methods

Approach	Method	How it works
Cost-based	Cost-plus	Price = cost + mark-up (cost Rs 80, 25% = Rs 100)
Cost-based	Break-even / target-return	Cover total cost or earn a target return
Demand-based	Perceived-value	Price by what buyers think it is worth
Competition-based	Going-rate / sealed-bid	Follow rivals or bid in tenders

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Break-even units = Fixed cost ÷ (Price − Variable cost per unit)
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4. Conclusion

A good price covers cost, matches the product's perceived value and stays competitive.

Marking scheme: Meaning 1 · factors 2 · methods 5 · formula 1 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q129. [2 marks] What is price discrimination?

Pricing Strategies · ***

Charging different prices to different customers or in different markets for the same product, not justified by cost differences - e.g. student discounts, peak and off-peak fares.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q130. [5 marks] Distinguish between market skimming and market penetration pricing.

Pricing Strategies · ***

Basis	Market skimming	Market penetration

Meaning	High initial price, lowered later	Low initial price to win share fast
Aim	Recover cost quickly; premium image	Large market share, volume
Suitable when	Product new and unique; buyers willing to pay	Price-sensitive market; rivals will enter; economies of scale
Risk	Invites competitors	Low profit initially; hard to raise price
Example	New gadget at a premium price	Telecom data plans at very low prices

Marking scheme: Any 5 points with table

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q131. [2 marks] What is a product line?

Product · **

A group of closely related products that work in a similar way, are sold to the same customers, or through the same channels - e.g. all soaps of one company.

Marking scheme: Definition 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q132. [10 marks] What is a product? Explain the levels of a product and the product mix with examples.

Product · ***

1. Meaning

A **product** is anything offered to a market to satisfy a want or need - goods, services, experiences, persons, places or ideas.

2. Levels of a product

Level	Meaning	Example (smartphone)
Core benefit	The basic need being met	Communication
Actual product	Brand, features, design, quality, packaging	Model, camera, display
Augmented product	Extra services and benefits	Warranty, after-sales service, EMI

3. Product mix

The **product mix** is the set of all products a seller offers. A **product line** is a group of closely related products.

Dimension	Meaning
Width	Number of product lines (soaps, detergents, foods)
Length	Total number of items in all lines
Depth	Number of versions of each product (sizes x variants)
Consistency	How closely the lines are related

4. Conclusion

Firms widen the mix to spread risk and deepen it to cover more segments; a consistent mix saves cost on distribution and promotion.

Marking scheme: Meaning 1 · levels 3 · mix dimensions 4 · example 1 · conclusion 1

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q133. [10 marks] What is the product life cycle? Explain its stages and the marketing strategies for each stage with a diagram.

Product Life Cycle · ***

1. Meaning

The **product life cycle (PLC)** shows the stages a product passes through from launch to withdrawal: sales and profit change with each stage, so the marketing mix must change as well.

> Sales ↑ — Introduction (slow rise) → Growth (steep rise) → Maturity (peak, flattening) → Decline (fall). Profit curve peaks near the end of growth / early maturity.

2. Stages and strategies

Stage	Sales / profit	Strategy
Introduction	Low sales, losses	Create awareness; skimming or penetration pricing; limited distribution
Growth	Rapid sales, profit rises	Improve quality, add features, widen distribution, build preference
Maturity	Sales peak, profit highest then falls	Modify market, product and mix; defend share; promotions
Decline	Sales and profit fall	Harvest, divest or drop; cut cost

3. Limitations

- Not all products follow the curve; stage length varies.
- Hard to identify the current stage; fashions and fads have short cycles.

4. Conclusion

PLC is a planning tool: it tells the manager when to push, defend or exit.

> **Marking scheme:** Meaning 1 · diagram 2 · stages 4 · limitations 1 · conclusion 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q134. [3 marks] State the AIDA model.

Promotion Mix · ***

AIDA describes the stages good promotion leads a buyer through: **A**ttention → **I**nterest → **D**esire → **A**ction (purchase).

> **Marking scheme:** Four stages

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q135. [5 marks] Distinguish between push and pull strategies of promotion.

Promotion Mix · ***

Basis	Push	Pull
Target	Channel members (wholesalers, retailers)	Final consumers
Tools	Trade offers, personal selling	Advertising, consumer offers
Aim	Push the product through the channel	Make consumers demand it from retailers
Suitable for	Industrial goods, new brands needing shelf space	Branded consumer goods

> **Marking scheme:** Any 4-5 points

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q136. [10 marks] What is the promotion mix? Explain its tools with merits and limitations.

Promotion Mix · ***

1. Meaning

Promotion is marketing communication that informs, persuades and reminds customers. The blend of tools is the **promotion mix**. Good promotion follows **AIDA**: Attention, Interest, Desire, Action.

2. Tools

Tool	Meaning	Merits	Limitations
Advertising	Paid, non-personal presentation by an identified sponsor	Wide reach, builds image	Costly, impersonal

Personal selling	Face-to-face presentation to make a sale	Two-way, flexible, relationship	High cost per contact
Sales promotion	Short-term incentives (samples, coupons, contests)	Quick sales effect	Short lived
Public relations	Press releases, events, sponsorship, CSR	Credible, low cost	Little control over media
Digital media	Search, social, email, influencers	Targeted, measurable, cheap	Clutter, needs data skills

3. Factors affecting the mix

- Type of product, PLC stage, target market, budget, push / pull strategy, competitors.

4. Conclusion

An integrated mix gives one consistent message across tools.

> **Marking scheme:** Meaning and AIDA 2 · five tools 5 · factors 1 · conclusion 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q137. [5 marks] What is public relations? Explain its tools and importance.

Public Relations · **

Public relations (PR) builds good relations between the company and its publics.

- Tools: press releases and conferences, events, product publicity, sponsorship, CSR, crisis communication.
- Importance: builds trust and a good image at low cost; high credibility.

> **Marking scheme:** Meaning 1 · tools 2 · importance 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]

Q138. [5 marks] What is sales promotion? Explain consumer and trade promotion tools.

Sales Promotion · **

Sales promotion means short-term incentives used to encourage the purchase or sale of a product.

Consumer promotion	Trade promotion
Free samples, coupons, price-off, premiums (gifts), contests, cash refunds, loyalty points	Trade discounts, display allowances, dealer contests, free goods, push money

Limitation: effect is short-lived; frequent discounts can lower brand image.

> **Marking scheme:** Meaning 1 · consumer 2 · trade 2

Asked in: Syllabus image (Unit IV topics) + standard textbooks [extra - check with class notes]